



Key Indicators:

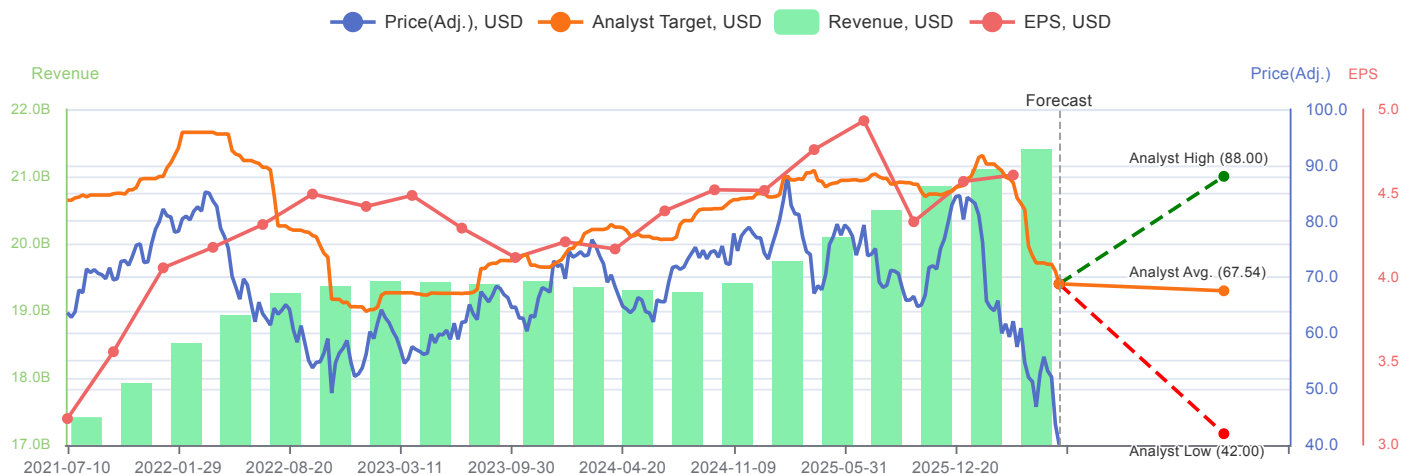
🕒 Date: Jul 5, 2026

Stock Price

\$42.0

52-Week Range	\$37.1 - \$86.0	EPS Revisions (90d)	↑ 0 ↓ 17	Revenue	\$21.4B
Market Cap	\$19.9B	PEG Ratio	-2.87	Revenue Forecast	\$22.3B
P/E Ratio	8.93	FCF Yield	12.4	1-Year Change	-47.1%
P/E (Fwd.)	7.38	EV / EBITDA	5.00	Div Yield	3.14%
EPS Actual	5.28	Book / Share	31.5	Div. Growth Streak	6 years
EPS Estimate	5.69	Beta (5Y)	0.86	Next Earnings	2026-07-29

5-Year Chart



Executive Summary

WarrenAI

Cognizant Technology Solutions Corp (NASDAQ: CTSH) is a leading global IT services company headquartered in the USA, providing digital transformation, AI, cloud, and managed services to enterprises across financial services, healthcare, and other industries.

Cognizant is actively repositioning itself as an "AI Builder," aiming to bridge the gap between enterprise AI investment and measurable business outcomes. In Q1 2026, the company delivered **revenue of \$5.4 billion (up 3.9% YoY in constant currency)** and adjusted EPS of \$1.40, beating estimates by 5.26%, with adjusted operating margin expanding 10 basis points YoY to 15.6% — the fifth consecutive quarter of margin expansion. Bookings surged 21% YoY, with a book-to-bill ratio of 1.4x and trailing-twelve-month bookings of \$29.6 billion.

Despite solid fundamentals, the stock has suffered a **~50% decline from its 52-week high of ~\$87**, hitting lows near \$38.97, driven by sector-wide AI transition fears amplified by Accenture's guidance cut. Berenberg downgraded CTSH to Hold (PT: \$59), citing structural risks from faster-than-expected AI adoption relegating legacy IT vendors to lower-margin work. Citi maintains Neutral (PT: \$55), while Wedbush upgraded to Outperform (PT: \$70), citing AI pipeline momentum.

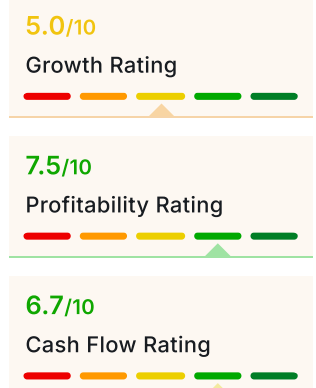
Technically, the stock is rated a *Strong Sell* by moving averages, yet trades at a deeply discounted forward P/E of **7.38x (FY26)** versus historical levels of ~17-19x, with a fair value estimate of \$68.53 and a FCF yield of ~12%. The company has raised dividends for six consecutive years and is aggressively buying back shares.

Project Leap, launched in Q2 2026, targets \$200M–\$300M in cost savings this year, with margins guided to 16.0%–16.2% for FY26. Full-year EPS guidance stands at \$5.63–\$5.77 (7%–9% growth), with analysts projecting continued EPS growth through FY28. Key risks include macroeconomic softness, AI-driven deflation in billable hours, intense competition, and geopolitical headwinds. The valuation disconnect and strong bookings pipeline present a compelling contrarian case, though near-term catalysts remain limited.

Fair Value

Upside	63.2%
Fair Value	\$68.5

Financial Health



Financial health is determined by ranking the company on over 100 indicators compared to other companies in its sector that operate in similar economic markets.

Valuation

Reporting Date	2023	2024	2025	2026	2027
Period Ending	31/12	31/12	31/12	31/12	31/12
Capitalization	\$37.9B	\$38.1B	\$40.1B	\$19.9B	\$19.9B
P/E Ratio	18.1	16.9	18.8	7.38	6.93
Div. Yield	1.61	1.61	1.51	3.14	-
Capitalization / Revenue	1.95	1.96	1.92	0.89	0.85
EV / Revenue	1.90	1.96	1.86	0.87	0.83
EV / EBITDA	10.8	10.9	10.3	4.69	4.36
EV / FCF	17.9	21.3	15.8	-	-
FCF Yield	5.19	4.32	6.62	-	-
Price / Book	2.94	2.64	2.69	1.32	-

- Forecast

Pro Tips

Tips that distill complex financial data into concise, actionable investment insights.

🦖 Management has been aggressively buying back shares

🦖 High shareholder yield

🦖 Has raised its dividend for 6 consecutive years

🦖 Valuation implies a strong free cash flow yield

🦖 Prominent player in the IT Services industry

🦖 Cash flows can sufficiently cover interest payments

🦖 Has maintained dividend payments for 10 consecutive years

🦖 Liquid assets exceed short term obligations

🦖 Analysts predict the company will be profitable this year

🦖 Profitable over the last twelve months

☹️ Stock has fared poorly over the last month

☹️ Price has fallen significantly over the last three months

☹️ Stock has taken a big hit over the last six months

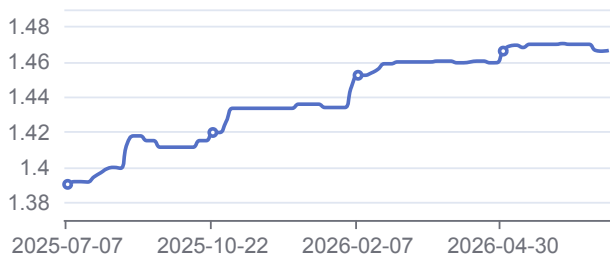
🐼 Operates with a moderate level of debt

Analyst Projections:

Analyst EPS Forecasts

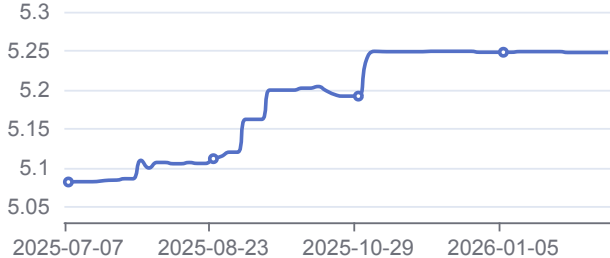
Period Ending	Average	YoY Growth	Forward P/E	# of Analysts
2026	5.69	7.9%	7.4x	30
2027	6.06	8.6%	6.9x	30
2028	6.54	9.8%	6.4x	15

EPS Revisions Q2 2026



The chart above depicts the trend in analyst earnings per share (EPS) forecasts for the upcoming quarter. Analysts have reduced this quarter's expectations by 0.1% for EPS from \$1.26 per share to \$1.26 per share over the last 12 months.

EPS Revisions FY2026



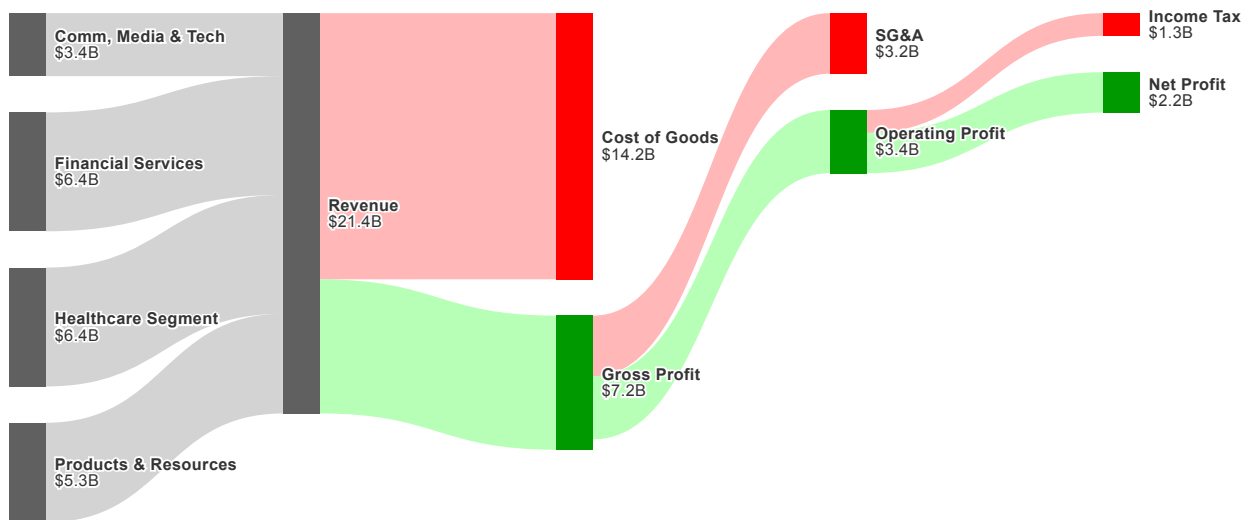
The chart above depicts the trend in analyst earnings per share (EPS) forecasts for the FY2025. Analysts have increased this quarter's expectations by 3.3% for EPS from \$5.08 per share to \$5.25 per share over the last 12 months. The company is expected to report earnings for Q2, 2026, on July 29, 2026.

Latest Ratings

Date	Analyst	Rating	Target
Jul 01, 26	HSBC	Buy	\$68
Jun 26, 26	TD Cowen	Hold	\$47
Jun 23, 26	Morgan Stanley	Hold	\$44
Jun 17, 26	Berenberg	Hold	\$59
Jun 08, 26	Citi	Hold	\$55
Jun 08, 26	Wedbush	Buy	\$70
Jun 01, 26	Truist Securities	Hold	\$66
May 15, 26	Citi	Hold	\$51
May 06, 26	Mizuho	Hold	\$68
May 01, 26	Susquehanna	Buy	\$88
Apr 30, 26	TD Cowen	Hold	\$62
Apr 30, 26	Wells Fargo	Buy	\$83
Apr 30, 26	Wedbush	Hold	\$56
Apr 30, 26	Morgan Stanley	Hold	\$63
Apr 30, 26	Guggenheim	Buy	\$80
Apr 30, 26	Citi	Hold	\$58
Apr 29, 26	BMO Capital	Hold	\$63
Apr 29, 26	Evercore ISI	Buy	\$70
Apr 28, 26	JPMorgan	Buy	\$74
Apr 27, 26	Morgan Stanley	Hold	\$70
Apr 22, 26	Guggenheim	Buy	\$85
Apr 13, 26	UBS	Hold	\$64
Apr 10, 26	Baird	Hold	\$72
Apr 09, 26	Wedbush	Hold	\$61



Y LTM Financials:



* Revenue segments are based on data from 2025-06-30 to 2026-03-31

* Income Statement is based on LTM data from 2025-03-31 to 2026-03-31

Income Statement

Date	2022	2023	2024	2025	LTM
Revenue	19,428	19,353	19,736	21,108	21,406
Operating Income	2,968	2,918	3,026	3,327	3,379
Net Income to Stockholders	2,290	2,126	2,240	2,230	2,229
Shares Outstanding	513.9	501.4	495.8	482.6	473.9
Diluted EPS	4.41	4.21	4.51	4.56	4.60
EBITDA	3,500	3,400	3,519	3,834	3,891

Balance Sheet

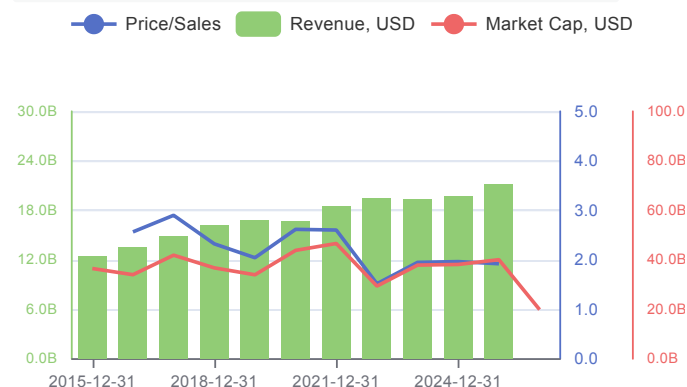
Date	2022	2023	2024	2025	LTM
Total Current Assets	7,266	7,506	7,504	7,818	7,835
Total Assets	17,852	18,483	19,966	20,692	20,500
Total Current Liabilities	3,347	3,333	3,585	3,659	3,520
Total Liabilities	5,543	5,256	5,558	5,677	5,432
Total Equity	12,309	13,227	14,408	15,015	15,068
Total Debt	1,547	1,339	1,503	1,174	1,092

Cash Flow Statement

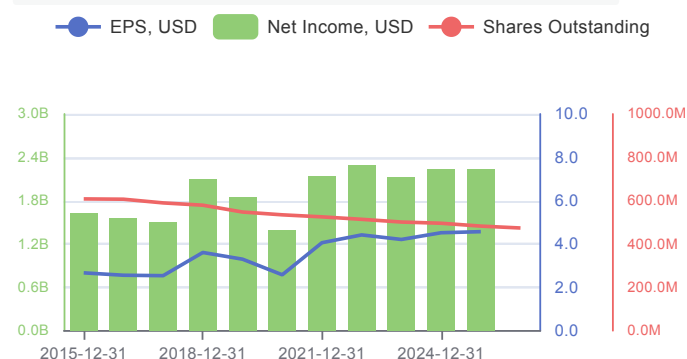
Date	2022	2023	2024	2025	LTM
Cash from Operations	2,568	2,330	2,124	2,883	2,757
Cash from Investing	-106.0	-331.0	-1,646	-230.0	-1,029
Cash from Financing	-1,939	-1,609	-915.0	-2,272	-2,212
Levered Free Cash Flow	0.0	0.0	0.0	0.0	0.0

*In USD millions, except number of shares, which are reflected in thousands, and per share amounts.

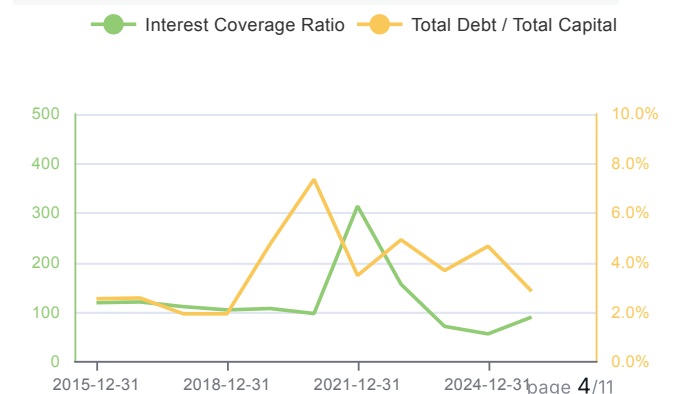
Revenue, Market Cap, Price/sales



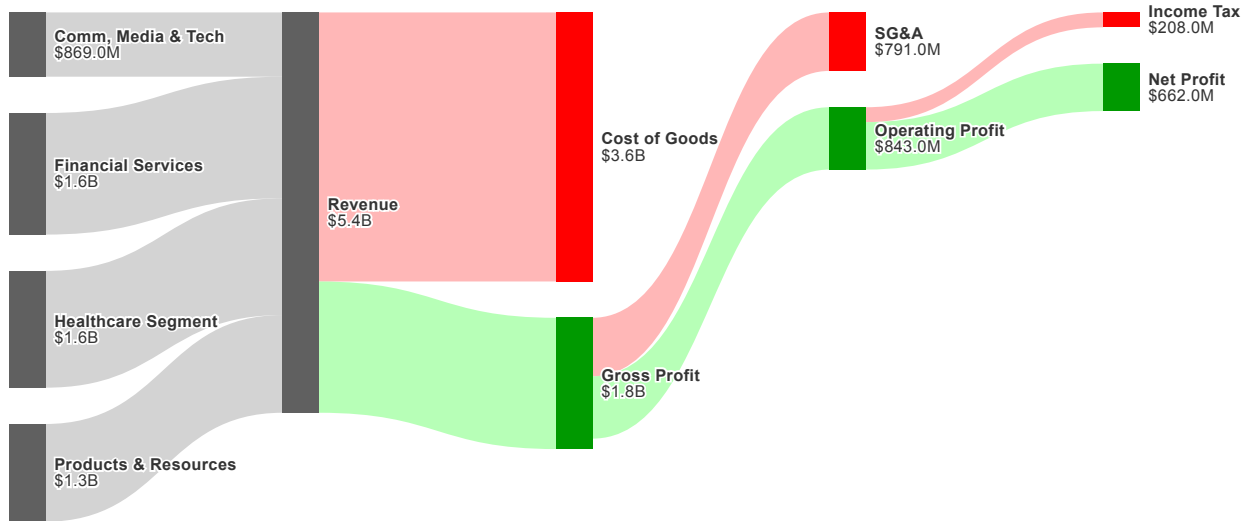
Net Income, EPS, Shares



Leverage and Debt



Q1 Financials



* Revenue segments are based on data from 2026-03-31

* Income Statement is based on LTM data from 2026-03-31

Income Statement

Date	Q1 2025	Q2 2025	Q3 2025	Q4 2025	Q1 2026
Revenue	5,115	5,245	5,415	5,333	5,413
Operating Income	791.0	817.0	866.0	853.0	843.0
Net Income to Stockholders	663.0	645.0	274.0	648.0	662.0
Shares Outstanding	494.6	492.9	488.4	482.6	478.2
Diluted EPS	1.34	1.31	0.56	1.35	1.39
EBITDA	927.0	956.0	1,001	950.0	984.0

Balance Sheet

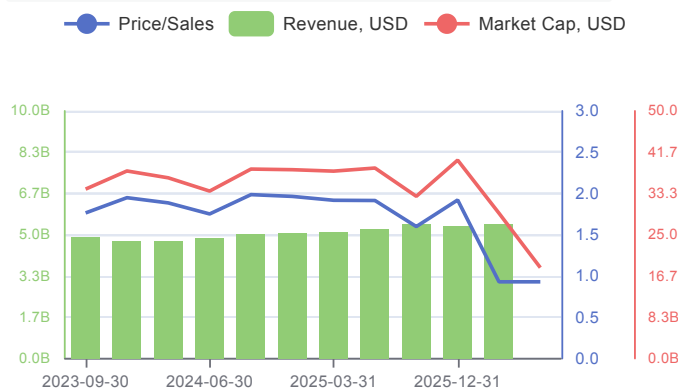
Date	Q1 2025	Q2 2025	Q3 2025	Q4 2025	Q1 2026
Total Current Assets	7,545	7,606	8,094	7,818	7,835
Total Assets	19,967	20,164	20,134	20,692	20,500
Total Current Liabilities	3,406	3,156	3,433	3,659	3,520
Total Liabilities	5,068	4,876	5,237	5,677	5,432
Total Equity	14,899	15,288	14,897	15,015	15,068
Total Debt	1,179	1,177	1,170	1,174	1,092

Cash Flow Statement

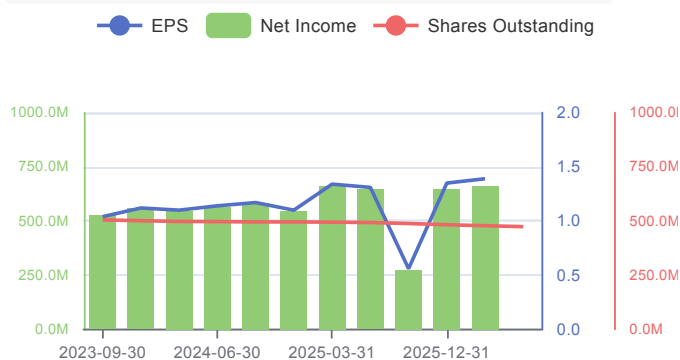
Date	Q1 2025	Q2 2025	Q3 2025	Q4 2025	Q1 2026
Cash from Operations	400.0	398.0	1,227	858.0	274.0
Cash from Investing	-7.0	-82.0	-66.0	-75.0	-806.0
Cash from Financing	-657.0	-516.0	-612.0	-487.0	-597.0
Levered Free Cash Flow	0.0	0.0	0.0	0.0	198

*In USD millions, except number of shares, which are reflected in thousands, and per share amounts.

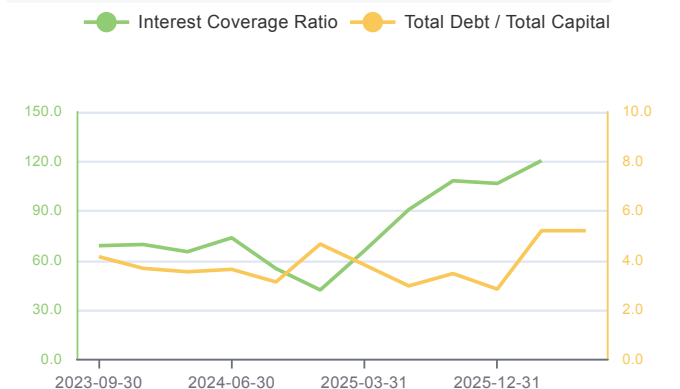
Revenue, Market Cap, Price/sales



Net Income, EPS, Shares



Leverage and Debt



Momentum & Technical Indicators

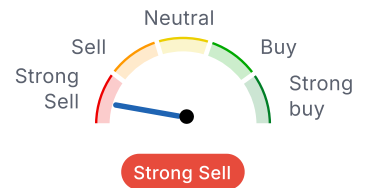
Price Momentum

Metric	CTSH	Percentile	Score
Price % of 52 Week High	48.8%	23.7%	1.2
1 Week Price Total Return	4.9%	69.5%	3.5
2 Week Price Total Return	-3.9%	29.6%	1.5
3 Week Price Total Return	-19.5%	4.6%	0.2
1 Month Price Total Return	-21.1%	8.8%	0.4
3 Month Price Total Return	-32.4%	5.2%	0.3
6 Month Price Total Return	-47.9%	6.6%	0.3
1 Year Price Total Return	-47.1%	12.2%	0.6
2 Year Price Total Return	-36.0%	21.0%	1.1
3 Year Price Total Return	-32.5%	29.0%	1.5
4 Year Price Total Return	-33.5%	30.4%	1.5
5 Year Price Total Return	-34.5%	40.4%	2.0

Peers

EPAM	ACN
39.7%	45.8%
9.4%	6.5%
15.2%	7.3%
-7.5%	-19.3%
-10.0%	-22.9%
-36.0%	-31.2%
-57.3%	-47.2%
-51.7%	-53.8%
-52.1%	-52.0%
-62.1%	-53.0%
-71.6%	-46.2%
-82.9%	-50.9%

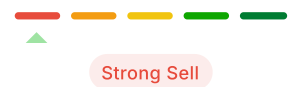
Technical Summary



Moving Averages



Technical Indicators



The Moving Average Score is based on various moving averages, both simple and exponential, with ranges from 5 to 200.

The Technical Score is calculated based on key technical indicators, including RSI, Stochastic, MACD, Williams %R, CCI, ATR, Highs/Lows, Ultimate Oscillator, ROC, and Bull/Bear Power, among others.

Peer Benchmarks:

Market and Yield Metrics

Metric	CTSH	EPAM	ACN
Market Cap	\$19.9B	\$4.6B	\$84.1B
Price % of 52 Week High	48.2%	39.7%	44.6%
Div Yield	3.14%	0%	4.75%
Beta	0.86	1.43	1.12
1 Year Return	-47.1%	-51.7%	-53.8%

Growth Metrics

Metric	CTSH	EPAM	ACN
Revenue Growth	6.55%	14.2%	6.74%
Revenue CAGR (5y)	4.86%	15.5%	9.47%
Net Income Growth	-5.43%	-6.08%	-2.00%
Net Income CAGR (5y)	9.88%	2.91%	8.49%
Revenue Forecast CAGR (5y)	4.42%	4.75%	5.92%
Net Income Forecast CAGR (5y)	8.90%	12.6%	8.43%

Financial Statement Metrics

Metric	CTSH	EPAM	ACN
Revenue	\$21.4B	\$5.6B	\$73.1B
Gross Profit	\$7.2B	\$1.6B	\$23.4B
Operating Income	\$3.4B	\$606.8M	\$11.5B
Gross Profit Margin	33.5	29.1	32.0
Net Income to Common	\$2.2B	\$386.7M	\$7.8B
ROE	14.9	10.9	24.9
ROI	15.3	13.1	22.9
ROA	11.0	8.20	12.0
Total Assets	\$20.5B	\$4.7B	\$68.8B
Total Debt	\$1.1B	\$287.9M	\$8.4B

Valuation Metrics

Metric	CTSH	EPAM	ACN
P/E Ratio (LTM)	8.93	11.9	10.8
PEG Ratio	-2.87	-4.83	-22.6
Price / Book	1.32	1.34	2.64
Price / LTM Sales	0.93	0.83	1.15
Analyst Upside	66.7%	57.5%	30.3%
Fair Value Upside	63.2%	5,672.0%	7,248.0%

Latest Insights

Warren AI

🐂 Bull Case

- Cognizant's Q1 26 bookings grew 21% YoY to \$29.6B trailing-twelve-month, with a 1.4x book-to-bill ratio and seven large deals over \$100M TCV including one mega deal exceeding \$500M, signaling strong pipeline conversion potential in H2 26.
- The AI Builder strategy is gaining traction with over 5,000 active AI engagements, ~40% of software development AI-assisted, and new outcome-based/tokenized pricing models that could structurally improve margins as digital labor scales.
- Wedbush upgraded CTSH to Outperform (PT: \$70), citing expected conversion of eight- and nine-figure pipeline deals to revenue in H2 26, supported by large deal ramp-ups from Q4 25 and Q1 26 wins.
- The stock trades at a deeply discounted forward P/E of 7.38x (FY26) and 6.93x (FY27), a price-to-book of 1.32x, and a ~12% FCF yield — well below historical multiples of 17-19x P/E — with InvestingPro flagging it as significantly undervalued.
- Project Leap targets \$200M–\$300M in savings in 26 (with full-year benefit in 27), funding reinvestment into AI capabilities, platforms, and workforce upskilling while supporting margin expansion guidance of 16.0%–16.2% for FY26.

🐻 Bear Case

- Berenberg downgraded CTSH from Buy to Hold and cut its PT from \$81 to \$59, warning that faster-than-anticipated AI transition intensifies structural risks, with AI model makers' downstream push potentially relegating IT vendors to lower-margin commodity work.
- The stock has collapsed ~50% from its 52-week high (~\$87), with technical indicators showing a Strong Sell signal, 17 downward EPS revisions in the last 90 days, and zero upward revisions — reflecting deteriorating near-term sentiment.
- Accenture's guidance cut triggered a sector-wide selloff in June 26, highlighting systemic pressure on legacy IT services demand as clients shift budgets toward AI-native solutions and cost optimization over traditional billable-hour engagements.
- Q2 26 guidance reflects a more cautious near-term view on discretionary spending, with macroeconomic uncertainty, trade policy disruption, and geopolitical tensions creating a wide range of potential outcomes across the full-year revenue guidance of 4%–6.5%.
- Gross margin declined 80 basis points YoY in Q1 26 due to higher compensation costs, integrated offering investments, and bench buildup — pressures that may persist as the company transitions its delivery model and absorbs restructuring charges of \$230M–\$320M.

Additional Insights

- Director Stephen Rohleder made an open-market share purchase in June 26, offering a modest insider confidence signal amid the stock's steep decline to multi-year lows.
- Cognizant announced the acquisition of Astreya, a specialist in AI infrastructure build-out and data center management, and launched the Cognizant Innovation Network to invest in early-stage AI, data, cybersecurity, and cloud startups.
- The company integrated ServiceNow AI Agents with its Neuro AI Multi-Agent Accelerator and became a launch partner for Rubrik Agent Cloud, expanding its partner ecosystem for enterprise AI delivery.
- Financial Services was the standout segment in Q1 26, growing over 10% YoY in constant currency, while Health Sciences faced a ~300bps headwind from lower third-party product revenue, and Products & Resources remained stable amid trade policy uncertainty.
- Cognizant is evaluating a potential primary offering and secondary listing in India, which could broaden its investor base and improve liquidity over the medium term.

SWOT Analysis

WarrenAI

Strengths

- Deep domain expertise in financial services, healthcare, and life sciences enables tailored AI solutions with strong client stickiness and large deal wins.
- Robust bookings momentum (1.4x book-to-bill, 21% YoY growth in Q1 26) and a healthy M&A pipeline support revenue visibility into H2 26 and beyond.
- Strong capital return program: six consecutive years of dividend growth, \$1B in share buybacks planned for 26, and aggressive management repurchases signal financial confidence.
- Profitability rating of 8/10 with cash flows sufficiently covering interest payments and liquid assets exceeding short-term obligations.

Weaknesses

- Gross margin declined 80bps YoY in Q1 26 due to compensation increases, integrated offering costs, and bench investment, with near-term margin recovery dependent on Project Leap execution.
- Organic constant currency revenue growth of 3.9% in Q1 26 trails some peers, and the growth rating of 5/10 reflects modest near-term expansion expectations.
- Heavy reliance on the North American market creates concentration risk, and the business model's historical dependence on labor arbitrage faces structural disruption from AI-driven automation.
- 17 downward EPS revisions in the past 90 days with zero upward revisions highlights deteriorating analyst confidence in near-term earnings delivery.

Opportunities

- The projected expansion of the global IT addressable market to \$5–6 trillion driven by AI presents a massive long-term growth opportunity for Cognizant's AI Builder platform strategy.
- Vendor consolidation among Fortune 500 clients creates large deal opportunities, with Cognizant winning cost takeout and consolidation mandates leveraging AI-assisted productivity sharing.
- Mainframe modernization and legacy debt takeout represent a multi-trillion dollar unlock, with AI reducing refactoring costs from ~\$10/line to ~\$1.50/line, making previously uneconomical projects viable.
- Outcome-based and tokenized pricing models (human + digital labor rate cards) could structurally improve revenue quality and margin durability as AI delivery scales.

Threats

- Faster-than-anticipated AI adoption is creating deflationary pressure on billable hours, with AI model makers' downstream push risking relegation of IT vendors to lower-margin commodity services.
- Intense competition from Accenture, TCS, Infosys, IBM, and Capgemini — some with superior AI capabilities or scale — could compress Cognizant's market share and pricing power.
- Geopolitical instability, trade policy uncertainty, and data localization/sovereign AI requirements increase compliance costs and operational complexity across global delivery.
- Macroeconomic softness is suppressing discretionary IT spending, with client caution around large investments creating revenue timing risk and widening the range of full-year guidance outcomes.

Earnings Call - Q1 2026

04/29/26 | WarrenAI

- Q1 26 revenue of \$5.4B grew 3.9% YoY in constant currency, at the upper half of guidance, with adjusted EPS of \$1.40 up 14% YoY, beating estimates by 5.26%.
- Bookings grew 21% YoY — the strongest in recent history — with seven deals over \$100M TCV and one mega deal exceeding \$500M; trailing-twelve-month book-to-bill reached 1.4x.
- Project Leap launched to deliver \$200M–\$300M in savings in 26, with ~two-thirds reinvested in growth; full-year adjusted operating margin guidance raised to 16.0%–16.2%.

Bullish Highlights

- Financial Services grew over 10% YoY in constant currency, driven by large North America deals across banking and insurance — the strongest segment performance.
- Adjusted operating margin expanded YoY for the fifth consecutive quarter, with EPS growth of 14% outpacing revenue growth, consistent with management's long-term framework.
- Over 5,000 AI engagements active across three vectors, up from ~4,000 exiting December 25; ~40% of software development now AI-assisted.
- CEO Ravi Kumar expressed highest conviction yet in long-term enterprise AI opportunity, citing Cognizant's role as a trusted partner for complex legacy transformation at scale.
- Company returned ~\$600M to shareholders in Q1 26 via buybacks and dividends; plans to return \$1.6B for full year 26.

Q&A Highlights

- On bookings quality: Management confirmed new deal proportion is as healthy as prior periods, with large deal TCV up 70% and the new proportion driven by existing and new customers.
- On AI pricing: CEO described an evolving tokenized rate card model (A0 fully human to A3 fully autonomous), with some clients asking Cognizant to manage both human and digital labor economics.
- On Project Leap: Described as both offensive and defensive — resizing the pyramid toward broader early-career hiring, funding platform investments, and accelerating the shift to outcome-based models.
- On M&A: CFO noted \$2.5B annual free cash flow generation, with ~\$600M of the \$1B buyback budget deployed for Astreya; pipeline remains active for platform and outcomes-focused targets.
- On second-half visibility: Two drivers cited — ramp-up of large deals won in Q4 25/Q1 26, and full Astreya contribution from Q3; midpoint assumes modest improvement in discretionary spending.

- Full-year revenue guidance maintained at 4%–6.5% constant currency; EPS guidance set at \$5.63–\$5.77 (7%–9% growth); free cash flow conversion guided at 90%–100% of net income.
- Astreya acquisition announced, adding AI infrastructure and data center managed services capabilities to Cognizant's AI Builder stack.

Bearish Highlights

- Stock fell 3.86% in pre-market trading despite the earnings beat, reflecting investor concern over macro conditions and forward guidance.
- Gross margin decreased 80bps YoY due to higher compensation costs, integrated offering investments, and bench buildup from fresh graduate hiring.
- Q2 26 guidance reflects a more cautious near-term view on discretionary spending, with macro uncertainty described as significantly more complex than at the start of the year.
- Health Sciences growth was negatively impacted by ~300bps from lower third-party product revenue; Products & Resources faced headwinds from trade policy and geopolitical uncertainty.
- Project Leap will incur \$230M–\$320M in restructuring charges in 26, including \$200M–\$270M in employee severance costs, all adjusted out of non-GAAP results.

Misses

- Despite the EPS beat, the stock declined in pre-market trading, suggesting the market was disappointed by Q2 guidance or macro commentary rather than Q1 results.
- Q2 26 revenue guidance came in below Wall Street estimates, reflecting a more cautious near-term view on discretionary spending amid heightened macroeconomic uncertainty.
- Annual contract value was flat in Q1 26 as deal duration increased, reflecting large deal mix and continued softness in smaller discretionary projects — a concern for near-term revenue conversion.
- Gross margin compression of 80bps YoY was a negative surprise, with management acknowledging it as an investment quarter but providing limited near-term specificity on recovery timing.



Top News, last 60 days:

Cognizant Technology Solutions Hits 52-Week Low at \$38.97, Down 50% Year-Over-Year

June 29, 2026

- Cognizant Technology Solutions Class A stock hit a 52week low of \$38.97 on Monday, June 29, 2026, down from its 52week high of \$87.03, reflecting a 1year change of 49.97%.
- The company trades at a P/E ratio of 8.53 with a market cap of \$18.5 billion; InvestingPro analysis indicates the stock appears significantly undervalued and in oversold territory based on RSI.
- Berenberg downgraded Cognizant to Hold from Buy with a price target of \$59.00, citing risks from fasterthananticipated AI transition, while Citi maintained a Neutral rating with a \$55.00 price target.
- Cognizant announced integration of ServiceNow AI Agents with its Neuro AI MultiAgent Accelerator and expanded its Rubrik alliance, becoming a launch partner for Rubrik Agent Cloud.

Importance - 6/10

Negative

Cognizant Technology Solutions Hits 52-Week Low at \$45.39, Down 48% from High

June 18, 2026

- Cognizant Technology Solutions Corp Class A stock reached a 52week low of \$45.39, representing a 48% decline from its 52week high of \$87.03, with a 1year change of 38.31%.
- Berenberg downgraded Cognizant's stock rating to Hold from Buy and lowered its price target to \$59.00, citing transition risks associated with AI developments and structural risks in the IT services sector.
- Citi reiterated its Neutral rating on Cognizant's stock, maintaining a price target of \$55.00.
- Cognizant announced integration of ServiceNow AI Agents with its Neuro AI MultiAgent Accelerator and expanded its partnership with Rubrik, integrating Rubrik Agent Cloud into its Neuro AI platform.
- Cognizant selected the Oracle Fusion Cloud Recruiting platform to manage its global workforce recruitment.

Importance - 6/10

Negative

Cognizant Stock Falls 5.6% on Accenture Guidance Cut and Berenberg Downgrade Amid AI Transition Concerns

June 18, 2026

- Cognizant stock fell 5.6% in New York premarket trading on Thursday, 20260618, following Accenture's guidance cut that triggered a broad IT services sector selloff.
- Berenberg downgraded Cognizant from Buy to Hold and cut its price target from \$81 to \$59, citing fasterthanexpected AI transition worsening the structural outlook for legacy IT services providers.
- Berenberg had initiated coverage with a Buy rating in February 2026, but the stock has since lost roughly 38% of its value.
- Director Stephen Rohleder made an openmarket purchase of shares on Tuesday, June 10, 2026, offering a modest signal of internal confidence.
- The stock is approaching its 52week low of \$45.48 and trades at a P/E of roughly 11 times earnings.

Importance - 6/10

Negative

Berenberg Downgrades Cognizant on AI Risks, Cuts Price Targets Across IT Services Sector

June 17, 2026

- Berenberg downgraded Cognizant Technology Solutions to Hold from Buy and cut its price target to \$59 from \$81, citing intensified structural AI risks and the company trailing sector leaders in capabilities needed to offset Aldriven deflation.
- The firm maintained a Buy rating on Accenture but lowered its price target to \$220 from \$273 due to sectorwide multiple compression, while reiterating a Hold rating and €112 price target on Capgemini.
- Berenberg warned that AI is creating deflationary pressure across legacy IT services by reducing billable hours and enabling lower pricing demands, while also creating new growth opportunities in enterprise modernization and AI infrastructure.
- The brokerage expects average revenue growth for leading IT services firms to remain in the low single digits as client spending shifts toward Alled transformation and costoptimization initiatives.

Importance - 6/10

Neutral



[Berenberg Downgrades Cognizant to Hold, Cuts Price Target to \\$59 on AI Transition Risks](#)

June 17, 2026

- Berenberg downgraded Cognizant Technology Solutions to Hold from Buy and lowered its price target to \$59.00 from \$81.00.
- Cognizant's stock has declined 38% since Berenberg's February 2026 initiation, currently trading at \$51.05 with a market cap of \$24.2 billion.
- Berenberg cited fasterthananticipated AI transition intensifying structural risks to IT services, with AI model makers' rapid downstream push raising risk of IT vendors being relegated to lowermargin work.
- The company trades at a P/E ratio of 11.1 with a free cash flow yield of 10%, though Berenberg noted lack of nearterm catalysts and diminishing rerating opportunity.
- Wedbush upgraded Cognizant from Neutral to Outperform with a \$70 price target based on anticipated AI strategy momentum, while Citi maintained a Neutral rating with a \$55 price target.

Importance - 6/10

Negative

[Wedbush Upgrades Cognizant to Outperform on AI Momentum, Raises Price Target to \\$70](#)

June 08, 2026

- Wedbush upgraded Cognizant Technology Solutions from Neutral to Outperform and raised its price target to \$70 from \$56, citing expected momentum in the company's AI strategy.
- The firm said Cognizant is positioned to convert largescale contracts in the eight and ninefigure range from its pipeline to revenue in the second half of 2026.
- Cognizant reported a 70% increase in total contract value and firstquarter bookings growth of 21% yearoveryear to \$29.6 billion in trailingtwelvemonth bookings, up 11% yearoveryear.
- The booktobill ratio reached 1.4 times, with approximately 30% of bookings tied to deals with \$50 million or more in total contract value.
- Management expects modest improvement in discretionary spending in the second half of 2026 given increasing deal momentum.

Importance - 6/10

Positive

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